

marriage. “Women, who choose to stay at home, raise children, or work part-time may face financial dependency risks, as they may have limited savings, retirement contributions, and career progression. Moreover, in cases where a woman earns less than her partner or has taken career breaks, there can be an imbalance in financial power. This imbalance can affect decision-making.”

Another issue is the unequal or limited ownership of assets. Despite contributing to the purchase of property or investments, many women find that these assets are registered solely in their spouse’s name, resulting in a lack of legal ownership.

COMMON PITFALLS

One key area of concern is the potential impact of debt on the financial well-being of both partners. A common mistake that many couples make is merging their finances too quickly, without clear strategy and communication. This can create confusion around who is responsible for personal and shared expenses, especially if one partner is already carrying debt.

Often, couples don’t tackle their student loans, credit card bills, or other debt. Keeping debt and future financial goals secret from each other can create hurdles as well.

For instance, one spouse may want to study further and may not be able to contribute to household expenses or may not want to work. Therefore, understanding the goals and objectives with cash flow planning is an important exercise.

Not reviewing insurance needs after marriage can leave couples vulnerable to unforeseen expenses. “For instance, couples can opt for maternity plans to cover childbirth expenses,” says Gurleen Kaur Tikku, CFP & Founder of financial advisory firm Hareepatti.

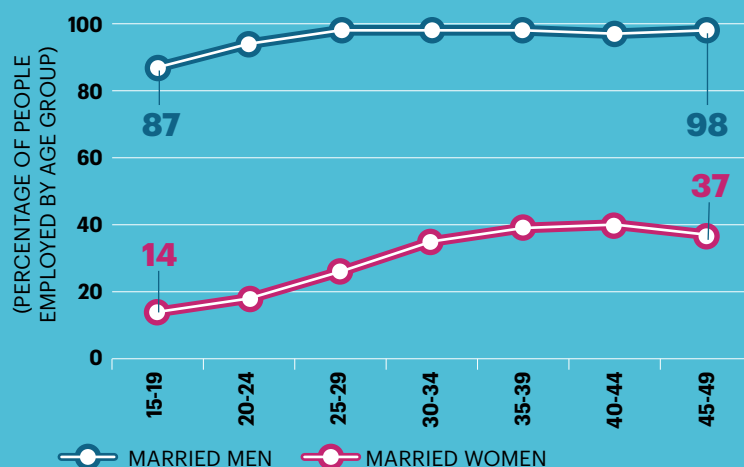
Not considering the tax consequences of financial transactions between spouses can lead to legal issues. Couples need to be aware of the ‘clubbing of income’ rule under Section 64 of the Income Tax Act, which stops the transfer of assets just to dodge taxes. Under this rule, one can add or include the income of another family member to one’s own in order to save taxes.

Thus, it is crucial for couples to establish joint ownership of assets for financial stability. Moreover, women need to gain financial knowledge in complex areas

A DEEP-ROOTED CHALLENGE

● Only 32% of married women up to the age of 49 are employed, showing that post-marriage employment is still uncommon

● Employment among married women generally increases with age, from 14% among women aged 15-19 to 40% for age 40-44, before dipping slightly



SOURCE NATIONAL FAMILY HEALTH SURVEY-5

such as investment planning, estate management, and tax strategies, making them less reliant on their partners before taking these decisions. Therefore, investing in one’s financial literacy before getting married is crucial as well.

SOME APPROACHES

Open communication is the cornerstone of healthy financial management. Like in the case of Renuka and Ankit, Renuka decided to have an honest conversation.

Maintaining transparency is prudent. Renuka, being a chartered accountant, was a meticulous saver with a healthy emergency corpus. Ankit’s income, however, fluctuated.

It is also important to note that merging finances can uncover hidden debt. Experts say that the initial step should be to compile a list of all debt. Then, prioritise and pay off debt with the highest interest rates (in case of credit cards), as these can quickly accumulate and significantly affect cash flow.

Dilshad Billimoria, Founder, Managing Director, and Sebi-registered Chief Financial Planner at financial planning company Dilzer Consultant says, “Strategies like ‘Avalanche’ or ‘Snowball’ should be planned